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SoftBank Group Credit Research



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Team: Credit
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Outlook

SoftBank Risks Remain as Gulf Plan to Aid AI Push: Credit React

(Bloomberg Intelligence) -- RECENT EVENT REACTION: SoftBank Group's plan to raise as much as $100 billion from Gulf investors, according to a Financial Times report, could reduce its funding burden as it pursues AI investments, though SoftBank might also commit capital to the fund itself. Raising such a large pool could prove challenging given uncertainty around AI returns and the company's mixed investment track record. Vision Fund 2 struggled to attract external investors during its 2019-20 fundraising push, when SoftBank was also grappling with problems at WeWork and its Vision Fund segment posted a $17 billion loss for the year ended March 2020. Performance has since improved, with Vision Fund 1 recording $29 billion in cumulative gains through June. The talks also come as OpenAI seeks fresh capital, potentially anchored by UAE investment funds. (10/09/26)

SoftBank Bonds Stay Wide on Technicals, AI Risk: Credit Outlook

THESIS: SoftBank Group's BB+ rated senior bonds trade at yields close to average single-B TMT peers, reflecting AI-related risk and weak technical support. Dollar hybrids look tight relative to seniors, while euro hybrids still offer a wide pickup. Further investment, including participation in a potential OpenAI funding round, could increase funding needs, loan-to-value and spread pressure, while an SB Energy IPO could be positive. Liquidity has improved following an $11 billion bond sale, new loans and asset monetization, and loan-to-value pro forma for pending deals could remain below SoftBank's 25% ceiling. (10/05/26)

Credit Considerations

Credit Checklist

SoftBank Catalysts Come From OpenAI Funding Round, SB Energy IPO

SoftBank Group's more than $50 billion of 3Q fund-raising strengthens liquidity and buys time as OpenAI's IPO is delayed. Loan-to-value, excluding asset-backed financing and pro forma for pending deals, could remain well below its self-imposed 25% ceiling based on Arm's Oct. 1 share price. Yet portfolio risk is rising as OpenAI exposure grows and asset-monetization options narrow.

SoftBank's bond spreads are likely to stay elevated due to its large debt load, aggressive investment strategy and weak technical support, with AI risk heightening volatility. Further investments will drive funding needs and bond spreads, while a listing of SB Energy could be a positive catalyst. Its participation in OpenAI's potential new funding round will be key. (10/05/26)

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Investment Pace, AI Outlook Are Key Catalysts

Credit Drivers	Outlook	Outlook Trend	Weighting (%)
Earnings & Cash Flow	Neutral	↔	10
Leverage & Financial Policies	Neutral	↔	20
Competitive Landscape	Neutral	↔	5
M&A	Unfavorable	↓	25
Event Risk	Unfavorable	↔	20
Stock Performance	Neutral	↔	5
Debt Maturities	Neutral	↑	15
Valuation	Neutral	↔	N.A.

Unfavorable Neutral Favorable

Note: This reflects a qualitative analysis by a Bloomberg Intelligence Analyst and is as of the date of publication.

Bloomberg Intelligence

Source: Bloomberg Intelligence

Credit Drivers: Rising Exposure to OpenAI

SoftBank Faces Double-Edged Sword on OpenAI $1.2 Trillion Round

SoftBank Group is likely to face liquidity pressure and high funding costs if it commits fresh capital to OpenAI's potential funding round at a higher $1.2-$1.5 trillion valuation. It already faces record yields on a $11 billion bond deal. If SoftBank declines to participate, its loan-to-value ratio could decline by 1-2 percentage points. Though it maintains ample room for further investment under a 25% LTV ceiling, higher exposure to OpenAI risks weakening its portfolio quality. (09/22/26)

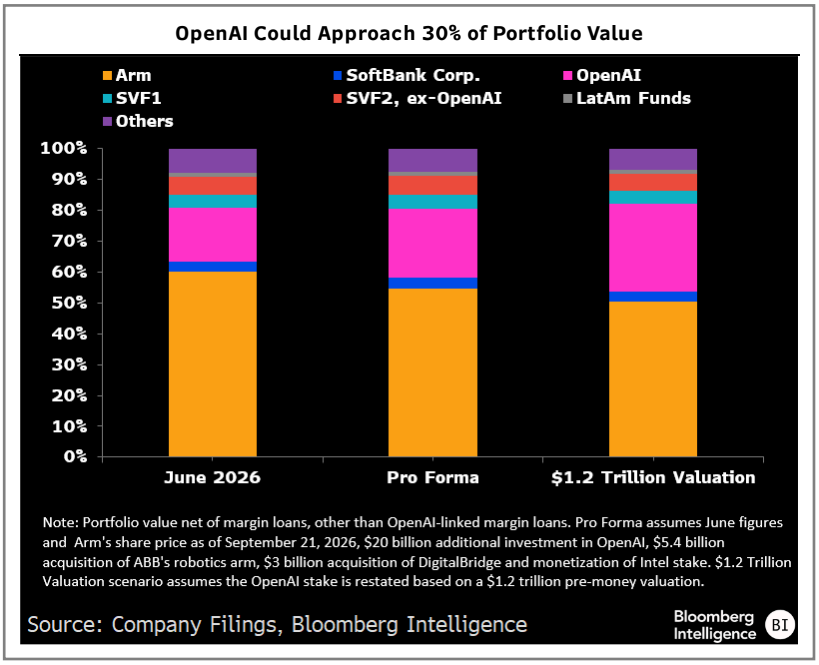
OpenAI Concentration to Weaken Portfolio

SoftBank Group's portfolio quality is likely to weaken as its OpenAI exposure grows. The AI company will probably account for 20-25% of portfolio value -- after the final $10 billion investment tranche in October -- based on the $852 billion valuation from OpenAI's latest funding round and Arm's Sept. 21 share price. OpenAI's share can approach 30% if its valuation reaches $1.2 trillion, though listed holdings could fall to about 60% of portfolio value from 69% at the end of June. OpenAI is riskier than Arm -- SoftBank's largest holding -- as it's unlisted, unrated and unprofitable. Still, a fresh funding round will provide OpenAI with more cash to absorb its expected cash burn.

SoftBank remains reliant on OpenAI's IPO timing to realize value from its holding. Its ability to borrow against that stake seems more constrained than for listed assets, with a margin loan linked to OpenAI shares requiring a guarantee from the company. (09/22/26)

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Ample LTV Room for Further Investment

SoftBank Group has room to invest a further $30 billion or more in OpenAI while keeping loan-to-value, excluding non-recourse asset-backed financing, below its self-imposed 25% ceiling. Its investment cushion depends on Arm's share price and OpenAI's valuation. OpenAI is in early talks for its next funding round that could value it at $1.2-$1.5 trillion, according to news reports.

SoftBank's LTV is set to increase to 15-20% from 13% in June if its $26 billion bridge-loan prepayment and pending commitments -- remaining OpenAI investment and ABB's robotics business and DigitalBridge purchases -- are mainly funded by recourse debt. The $5 billion upsizing of an Arm-backed margin loan and a $7.4 billion Intel-backed prepaid forward contract, according to the company's draft bond offering circular, are excluded from its LTV calculation. A higher OpenAI valuation can offset some of the increase, with LTV staying closer to the mid-teens if SoftBank doesn't participate in the new round. (09/22/26)

Click for Scenario Analysis

Loan-to-Value, excl. Asset-Backed Financing		OpenAI Pre-Money Valuation ($ billions)		
		1000	1200	1400
Further Investment in OpenAI ($ billions)	-	16%	15%	15%
	15	18%	17%	17%
	30	21%	20%	19%

Note: As of June 30, 2026, except Arm's and SoftBank Corp's share price which are as of September 21, 2026. Assumes the acquisition of ABB's robotics arm and DigitalBridge, along with $20 billion investment in OpenAI are completed and fully debt-funded, including a $5 billion upsize of the Arm-backed margin loan and $7.4 billion raised from Intel monetization. LTV, excl. Asset-Backed Financing is net of margin loans and prepaid forward contracts, except $10 billion OpenAI-linked margin loans which are guaranteed by SoftBank Group. OpenAI stake is restated based on different pre-money valuation.

Source: Bloomberg Intelligence

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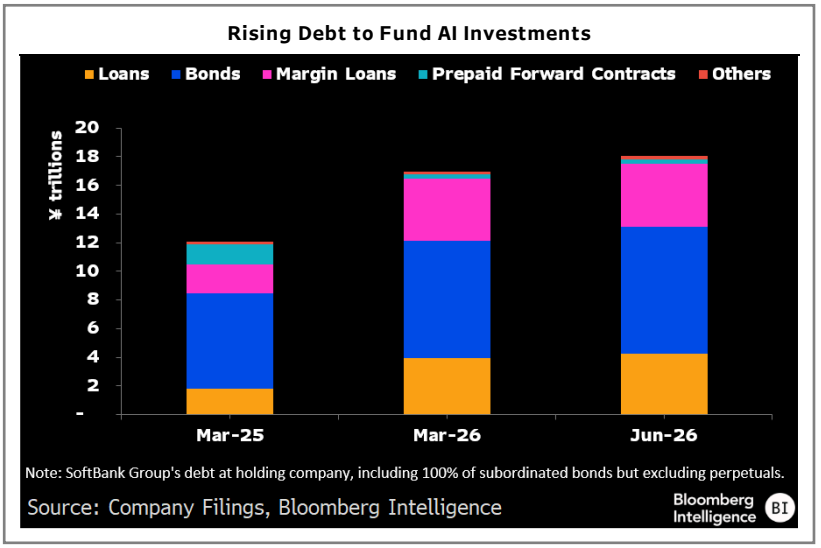
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More OpenAI Funding to Strain Liquidity

Any further capital commitment to OpenAI could weaken SoftBank Group's liquidity and widen bond spreads. Its dollar and euro bond yields are trading wide due to supply risk and concerns around its growing OpenAI exposure. The company may face 9% or more yields in dollar -- exceeding the previous high of 8.5% priced in April -- as it issues bonds to fund the final $10 billion investment in OpenAI, highlighting the potential funding-cost implications of further balance-sheet expansion.

The company's gross debt is expected to approach $130 billion from roughly $70 billion in March 2025, before it shifted its focus to AI. This pro forma calculation includes margin loans and subordinated notes, excludes derivatives and perpetuals, and accounts for a planned $11 billion bond deal, new loans and a $26 billion bridge-loan prepayment.

SoftBank Group is already the largest Asian offshore high-yield issuer and tops the Bloomberg Pan-European High Yield and ICE BofA Euro High Yield indexes. A $10 billion 144A issue could make SoftBank a top 10 issuer in the Bloomberg US Corporate High Yield and ICE BofA US High Yield indexes. (09/22/26)



Aggregate OpenAI Investment of $65 Billion

(09/22/26)

Participation in OpenAI's Past Share Sales

	Transaction	Pre-Money / Transaction Valuation ($ billions)	Amount Raised / Sold ($ billions)	Post-Money Valuation ($ billions)	Key Investors
Oct. 2024	Primary funding round	150	7	157	Thrive Capital, Microsoft, SoftBank
Mar. 2025	SoftBank-led primary funding round	260	41	301	SoftBank ($30 billion), Dragoneer Investment Group
Oct. 2025	Secondary employee share sale	500	7	500	Thrive Capital, SoftBank, Dragoneer, MGX and T. Rowe Price
Feb.-Mar. 2026	Primary funding round	730	122	852	Amazon ($50 billion), Nvidia ($30 billion), SoftBank ($30 billion)

Source: Company Filings, Bloomberg Intelligence

Bloomberg Intelligence BI

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Liquidity: Bond Deal Beckons

SoftBank's $50 Billion Funding Boosts Liquidity, Narrows Options

SoftBank Group should have sufficient liquidity to cover bonds maturing within two years and pending investments after raising more than $50 billion since July. Yet fundraising for its AI deals have narrowed asset-monetization options and increased debt-service costs. Further investment, including in data centers or OpenAI, could drive additional funding needs amid uncertainties around the timing of OpenAI and SB Energy's IPO. (10/01/26)

Bond, Loan Rush to Bolster Liquidity

SoftBank Group appears to have enough funding to cover two years of bond maturities and committed investments in OpenAI, ABB's robotics unit and DigitalBridge, after lining up more than $25 billion of loans and issuing $18 billion of bonds across dollar, euro and yen during 3Q. It also monetized its Intel stake through prepaid forward contracts, according to its bond offering circular. Part of the proceeds were used to prepay a $26 billion bridge loan in mid-September. Its next major refinancing needs do not arrive until 2028, when a $12 billion term loan and a $10 billion OpenAI-linked margin loan mature.

The company is set to increase its liquidity buffer after a steep drop in the June quarter. Still, further AI spending -- including data-center capex or participation in another OpenAI funding round -- could raise funding needs again.

Cash, short-term investment and undrawn facilities fell to ¥2.3 trillion in June from ¥3.5 trillion in March. Cash and $20 billion in loan proceeds were used to repay a $12 billion bridge loan, fund a $10 billion OpenAI investment and allocate near ¥1 trillion to US data centers and power generation. (10/01/26)

Improved Liquidity After Refinancing

($ billions)	
Parent Company (SBG) Cash	5.6
Short Term Investments and Bond Investments	5.6
Undrawn Capacity	3.0
OpenAI-Linked Margin Loans	10.0
Bonds Issued Between July-Sept	18.1
Term Loans for ABB Robotics Deal	1.8
Two-Year Term Loan	11.9
Arm Margin Loan Upsize	5.0
Intel Prepaid Forward Transaction	7.4
SBG Pro Forma Liquidity as of June 2026	68.3
Bonds Due, Callable up to June 2027	(3.9)
Bonds Due, Callable up to June 2028	(5.4)
Bridge Loan Due in March 2027	(25.9)
Pending Investments - OpenAI, ABB Robotics, DigitalBridge	(18.5)
SBG Excess Funding	14.6

Note: Pending investments includes $10 billion for OpenAI. Two-year term loan and Arm margin loan upsize per Bloomberg News and bond offering circular, Intel monetization per bond offering circular.
Source: Company Filings, Bloomberg Intelligence

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Diminished Asset Monetization Options

SoftBank Group's asset-monetization options have narrowed after its large AI investments. A near-term sale of Arm shares appears unlikely given Arm's central role in SoftBank's AI strategy, with about 80% of the stake pledged against a margin loan that was recently upsized to $25 billion. Its stake in SoftBank Corp. is already below 50%, and its remaining listed holdings are relatively small. Since April 2025, the company has raised more than $30 billion through asset sales and derivative transactions, mainly involving T-Mobile, Deutsche Telekom, Nvidia and Intel.

Its data center unit, SB Energy, has filed for an IPO, though the proceeds are likely to be earmarked for capital spending. The timing remains uncertain, with The New York Times reporting that the listing has been delayed amid questions over valuation. (10/01/26)

Listed Stakes, Ex-Arm and SoftBank Corp. Are Small

Company	Stake (%)	Market Value ($ billion)	Free Float (%)
Arm	86	261.5	14
SoftBank Corp.	40	29.3	59
PayPay	29	3.1	8
Autostore	38	2.2	30
T-Mobile	1	1.7	40
Symbotic	31	1.7	57
Lenskart	10	1.2	52
Meesho	9	0.9	56
Swiggy	6	0.5	61

Note: Positions based on June 2026 13F filing and HDS function. Market value as of September 28, 2026. Includes positions held by SoftBank Vision Fund II. Excludes Intel stake which has been used to raise funds through prepaid forward contracts.
Source: Company Filings, Bloomberg Intelligence

Bloomberg Intelligence

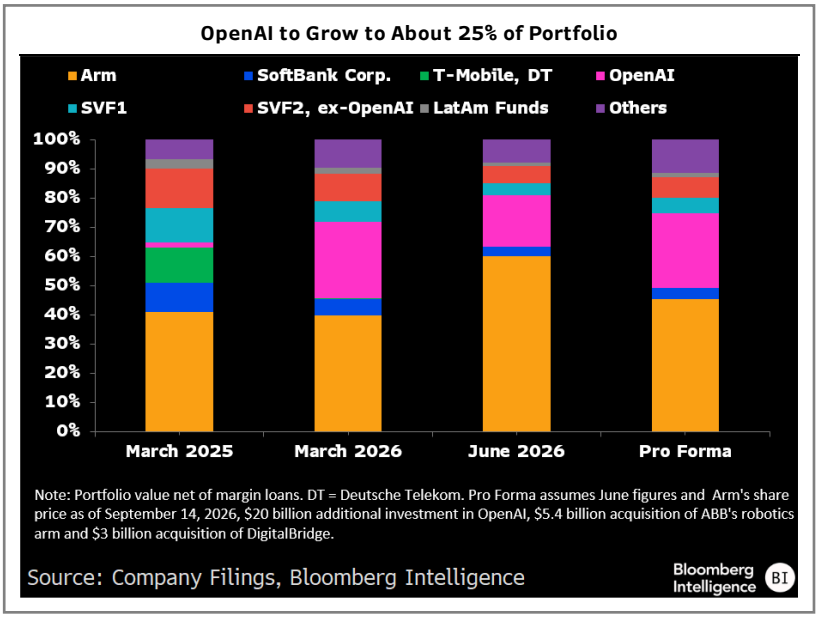
OpenAI Exposure Extends Beyond 13% Stake

OpenAI's delayed IPO could postpone SoftBank Group's ability to monetize its 13% stake, valued at about $110 billion and representing more than 20% of portfolio value based on the latest funding round and including its pending $10 billion investment. Vision Fund 2 raised $10 billion through an OpenAI-linked margin loan, but with a guarantee from SoftBank. That margin loan and a new unsecured loan both mature in two years, giving SoftBank more time for an OpenAI listing.

The IPO delay and any slowdown in AI development could weigh on SB Energy's valuation ahead of its planned listing. OpenAI leases most of its 8.8-gigawatt data-center pipeline, though Nvidia provides a residual-value guarantee for 4.25 GW, on top of its $3 billion investment in SB Energy. SoftBank might need to cover any shortfall if SB Energy's equity raise disappoints. (09/16/26)

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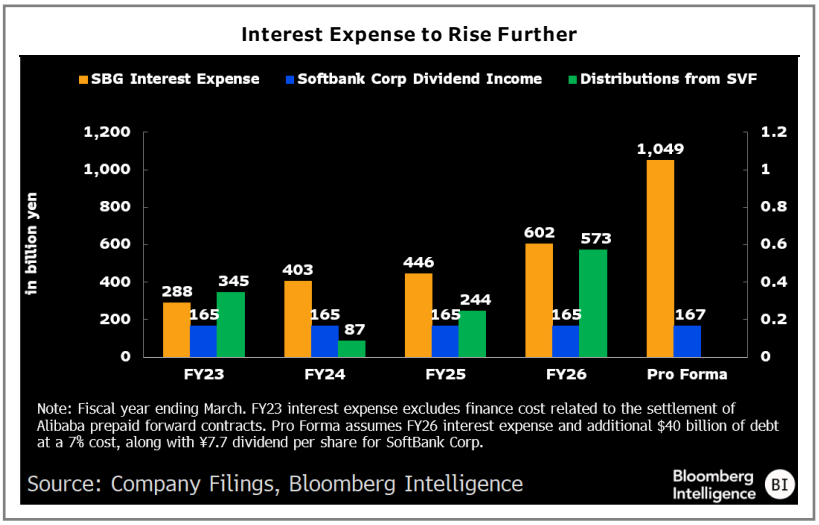
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Rising Funding Costs to Weaken Cash Flows

SoftBank Group's interest expense is set to rise by more than 50% from last fiscal year ended in March, as gross debt approaches $130 billion and average funding cost increases. Interest expense already jumped 51% in fiscal 1Q, following a 35% increase in the previous fiscal year. Dividends from SoftBank Corp. and interest income are its key recurring cash-flow sources but are unlikely to cover interest expense, given its reduced cash balance and the rapid cost increase. Distributions from Softbank Vision Fund have been increasing but are volatile, depending on the listings of investee firms.

SoftBank leaned on debt to refinance a $40 billion bridge loan that was used mainly to fund its OpenAI investment. Its recent $10 billion bond deal carried coupons of as much as 9.75%, the highest ever for the company. (10/01/26)



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Valuation: AI Risk Priced In

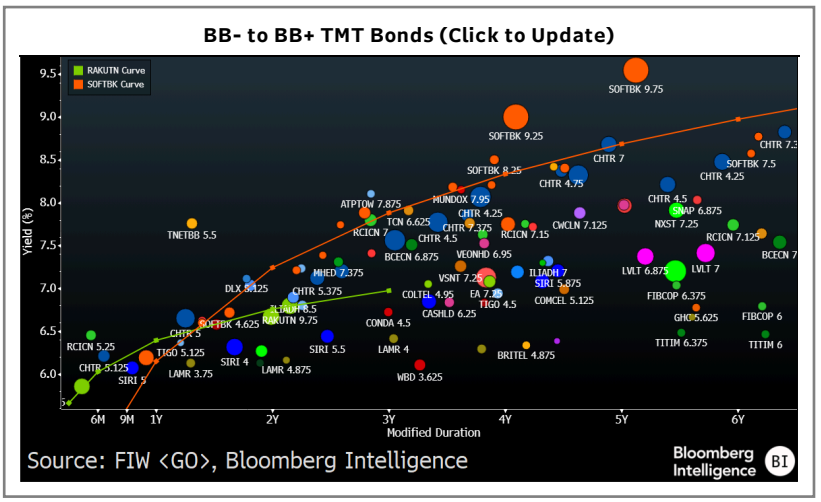
SoftBank New Bonds, Euro Hybrids Look Wide on OpenAI, Technicals

SoftBank Group's recently issued bonds offer spread pickup of 40 basis points or more to other bonds on its curve, with yields near B-rated TMT peers. Weak technicals, OpenAI exposure and potential further AI investment could keep the bonds wide and volatile, while Rakuten Group appears to trade closer to fair value. SoftBank's dollar hybrids look tight, while its euro hybrids still offer at least 200 basis points of pickup to seniors. (10/05/26)

SoftBank Dollar Seniors Trade Much Wider Than BB+ Peers

BB+ rated SoftBank Group's recently issued dollar bonds offer carry, though they could remain wide amid weak technicals, with growing OpenAI exposure and moves in Arm's share price adding volatility. The 9.25% 2032s and 9.75% 2034s yield about 9% and 9.5%, respectively, roughly 40 basis points or more above SoftBank's other five-year or longer notes. The notes trade near average yields for B-rated TMT bonds in the Bloomberg US Corporate High Yield index, while its other bonds are closer to BB- and B+ peers. The timing of planned OpenAI and SB Energy IPOs, along with further AI investment, including a potential new OpenAI funding round, are key catalysts.

Rakuten Group's 9.75% 2029s trade about 50 basis points inside SoftBank's 6.75% 2029s, broadly in line with the one-year average gap. Its ¥600 billion shelf registration could reduce offshore supply risk as it faces $3 billion of bonds due or callable next year, though weakness in the mobile business as it reduces reliance on KDDI roaming remains a risk. (10/05/26)



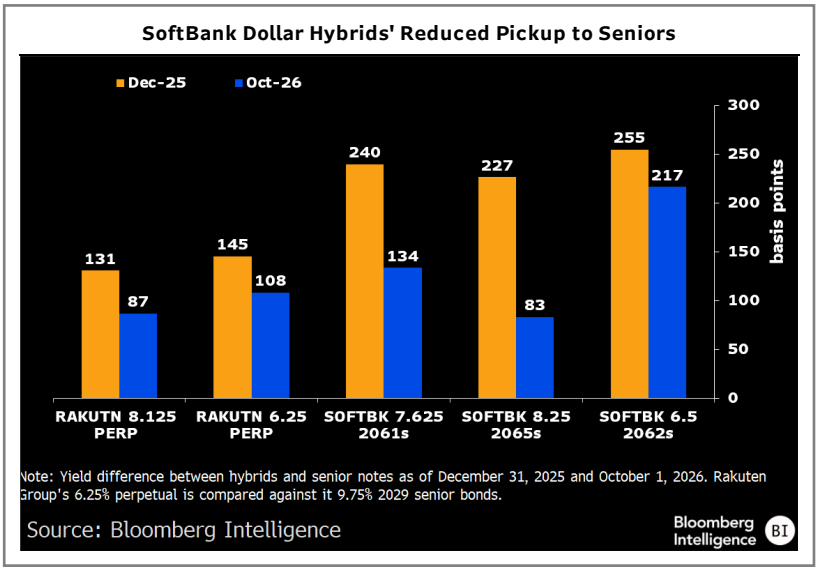
Hybrid Value Diverges at SoftBank, Rakuten

SoftBank Group's dollar hybrids appear tight relative to seniors, with yield pickup narrowing by about 100 basis points or more year-to-date despite its rising debt load. The smaller gap probably reflects SoftBank's strong first-call redemption record and access to the domestic hybrid market. Its euro 6.5% 2062s, by contrast, still offer at least 200 basis points of pickup to seniors. Rakuten's hybrid-to-senior spread multiple is higher at about 1.6x.

Both companies' hybrids carry coupon step-ups of 4.25-5% over five-year Treasuries or swaps, and both have strong records of redeeming hybrids at first call. SoftBank issued ¥678 billion of hybrids this year for refinancing, while Rakuten has €1 billion of perpetuals callable in April. (10/05/26)

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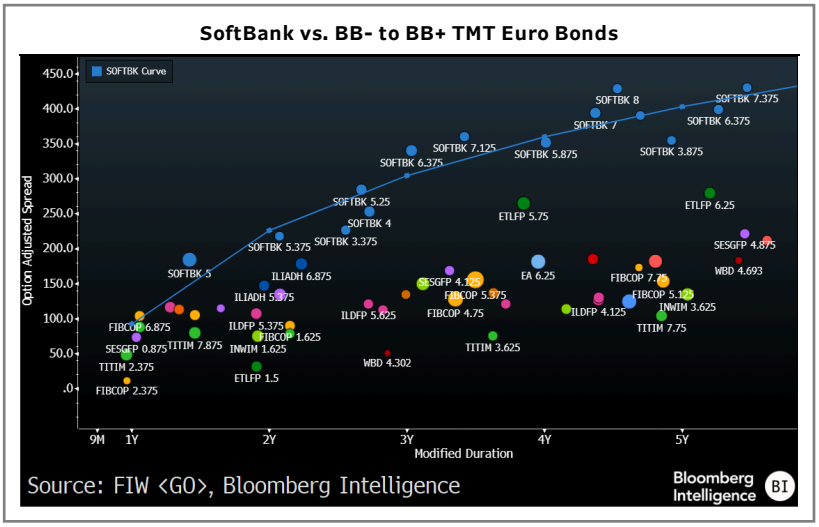
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Euro Bonds' Index Weight Affects Technicals

SoftBank Group's euro-denominated senior bonds trade wide of most TMT peers in the BB range, which partly reflects the large amount outstanding. The steep maturity curve also prices in uncertainty around its AI-focused portfolio and aggressive investment strategy, while the euro curve offers pickup to its dollar bonds after swaps.

SoftBank is the largest issuer in the Bloomberg Pan-European and ICE BofA Euro High Yield indexes, but is excluded from the ICE BofA Euro Non-Financial High Yield index, potentially limiting index-related demand. (10/05/26)



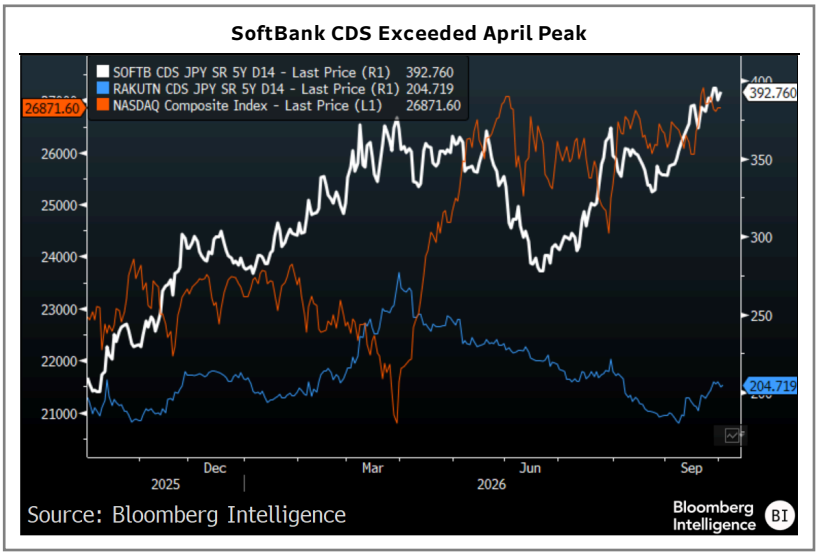
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Bloomberg Intelligence

SoftBank CDS Reflects Rising Debt, OpenAI Risk

(10/05/26)



Key Topics

SB Energy IPO

SoftBank SB Energy $178 Billion AI Capex Hinges on IPO, Debt

SB Energy's planned IPO and Nvidia investment could cover the majority of its near-term equity needs, easing the funding burden on SoftBank Group. Yet the company still faces a sharp rise in debt as it builds out its $178 billion data center pipeline, with financing terms likely to hinge on the strength of Nvidia's support for PORTS-Pike, while the Milam County project's exposure to OpenAI poses risk.
(09/04/26)

IPO Proceeds to Mostly Cover Near-Term Needs

SB Energy can temporarily bridge most of its near-term equity requirements for its data center pipeline through a planned IPO expected to raise $5-$7 billion, as reported by the Wall Street Journal, on top of Nvidia's $3 billion investment. We estimate the company needs up to $13 billion of equity through 2028, assuming it incurs roughly half of the capex by then for the initial phase of PORTS-Pike with 20% equity funding, while Milam County is funded with about 40% equity. There might be upside risk if it commences construction for the remaining PORTS-Pike capacity.

SB Energy estimates $178 billion of remaining capex for contracted and under-construction projects, though spending will be phased over several years. The PORTS-Pike project's overall campus probably accounts for over 80% of estimated capex, with the initial 4.25 GW of the 8 GW project scheduled for completion through 2028-31. The 753 MW Milam County project targets completion in 2028, while the 50 MW Cosmos project cost is estimated at only around $1.2 billion and should begin generating lease revenue in 4Q.

SB Energy is responsible for the land, shell, power and cooling, while the tenants are responsible to fund the cost of compute hardware. Yet it's not clear how OpenAI plans to fund the equipment.
(09/04/26)

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$8-$13 Billion Equity Needed

$ billion	
Backlog-Associated Capex	178
Milam County (est.)	11
PORTS-Pike (est.)	162
Cosmos	1
Power	4

Capex up to 2028	Lower End	Upper End
Milam County (est.)	11	11
PORTS-Pike (est.)	32	41
Total	43	52

Equity Portion	Lower End	Upper End
Milam County (est.)	3	4
PORTS-Pike (est.)	5	8
Total	8	13

Note: Milam County capex assumes $14 billion per GW of capex, Cosmos assumes 50% of $1.2 billion construction cost spent and PORTS-Pike's capex is the remainder of a $174 billion data center capex estimate. Lower End scenario assumes 50% of PORTS-Pike capex is for the initial 4.25 GW, with 40% spent by 2028 and 15% equity funding, along with 30% equity funding for Milam County. Upper End scenario assumes 50% of PORTS-Pike's initial phase capex is incurred by 2028, with 20% equity funding and 40% equity funding for Milam County.

Source: Company Filings, Bloomberg Intelligence

Bloomberg Intelligence BI

Project Finance Hinges on Nvidia Support, OpenAI Risk

The non-recourse project finance market will divide SB Energy's pipeline into two credit stories. SB Energy should have a clearer path to raise non-recourse project financing for the initial 4.25 GW of PORTS-Pike, supported by Nvidia's residual-value guaranty of as much as $105 billion. Still, its borrowing costs will probably carry a sizable premium to Nvidia's own funding costs because the guaranty doesn't cover all lease and power payments. Following a qualifying OpenAI payment default or insolvency, the guaranty is designed to cover a shortfall between the applicable guaranteed minimum value and recoveries from reletting or selling the property. The coverage steps down over the 20-year lease term and terminates if OpenAI achieves a specified credit rating.

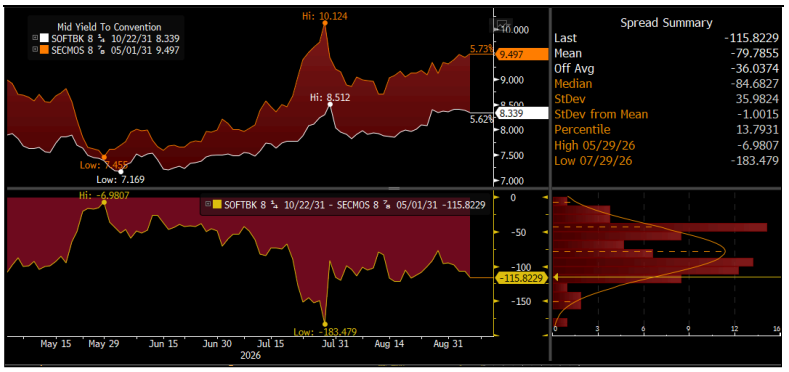
Nvidia has the option to extend similar support to the remaining 3.78 GW. If it doesn't, OpenAI is required to secure a replacement guarantor rated at least A- or equivalent.

Raising non-recourse financing for Milam County faces steeper hurdles. Leased directly to OpenAI without comparable Nvidia support, Milam County forces lenders to absorb unrated corporate exposure and OpenAI's heavy cash-burn risks. This may lead lenders to require lower leverage and higher pricing. SB Energy issued about $1 billion of bonds to finance Cosmos, with the notes trading more than 100 bps wide of SoftBank bonds. By comparison, A+ rated Beignet 6.581% 2049 bonds trade about 60 bps above the secondary curve for its Aa3/AA- rated tenant, Meta. (09/04/26)

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SE Cosmos Trades Over 100 Bps Wide of SoftBank



Source: Bloomberg Intelligence

IPO to Ease SoftBank's Financing Burden

SB Energy's planned IPO should improve its ability to raise capital independently as it works toward deploying 8.8 GW of contracted data center capacity, with another 1.7 GW of uncontracted capacity in its pipeline. SoftBank Group will remain the controlling shareholder, and a successful listing should reduce the pressure on the parent to directly fund future capex. The IPO would also increase the proportion of listed assets in SoftBank's portfolio, improve transparency around its data center exposure and potentially lower loan-to-value.

Still, SB Energy's IPO will test investor appetite for OpenAI-linked AI infrastructure, despite the support from Nvidia. Its lack of operational data center capacity, with only 2.2 GW of solar and battery storage capacity in operation, is also a risk. (09/04/26)

8.8 GW Data Center Pipeline Leased to OpenAI

	Cosmos	Milam County	PORTS-Pike
Capacity	50 MW	753 MW	8,024 MW
Tenant	SoftBank affiliate	OpenAI affiliate	OpenAI affiliate
Initial term	15 yrs	15 yrs	20 yrs
Renewal option	+10 yrs	+10 yrs +10 yrs	Not disclosed
Credit support	SoftBank guaranty	OpenAI affiliate guaranty	Nvidia residual-value guaranty for first 4.25 GW; Nvidia or A- or above rated guarantor for remaining 3.78 GW
Construction status	Construction	Construction	Mostly pre-construction
Expected completion	2026-27	2027-28	2028-32

Source: Company Filings, Bloomberg Intelligence

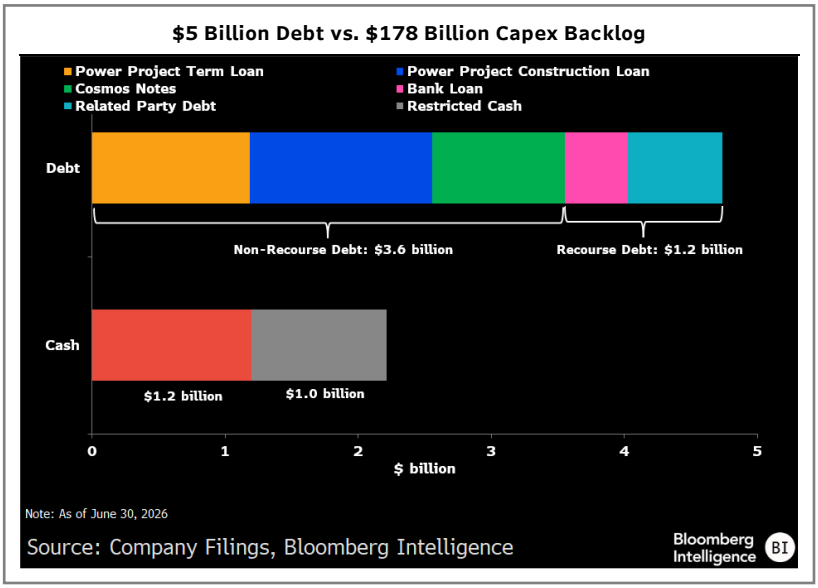
SB Energy's Ballooning Debt, Weak Finances

SB Energy's borrowing is likely to rise sharply as it funds its data center pipeline, though most new debt should be non-recourse. Its financial profile will probably remain weak over the next couple of years even as Cosmos and Milam County begin generating revenue, given the scale of construction spending for PORTS-Pike. The company recorded about $20 million of adjusted Ebitda vs. $78 million of net interest expense in 1H. It has a $439 billion revenue backlog, of which $1 billion is expected to be recognized within 24 months and about $12 billion between 25-48 months.

As of June, roughly 25% of existing borrowings were effectively recourse, including the $710 million in related-party debt funded by Ares Management preferred equity. All recourse debt is expected to be repaid using cash and a new credit facility of as much as $2 billion that remains under discussion. (09/04/26)

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Entry into US Neocloud

SoftBank to Cushion Neocloud Risks With Non-Recourse Funding

SoftBank Group and its telecom unit will limit balance-sheet pressure if their new joint venture, SB Neo, leans on non-recourse financing and SB Energy's data-center pipeline to ramp up capacity in the US neocloud market. SoftBank Corp. is committed to a mid-2x leverage and tripling operating income seems achievable. Still, the telco's rising involvement in the parent's AI strategy raises investment risk. (07/10/26)

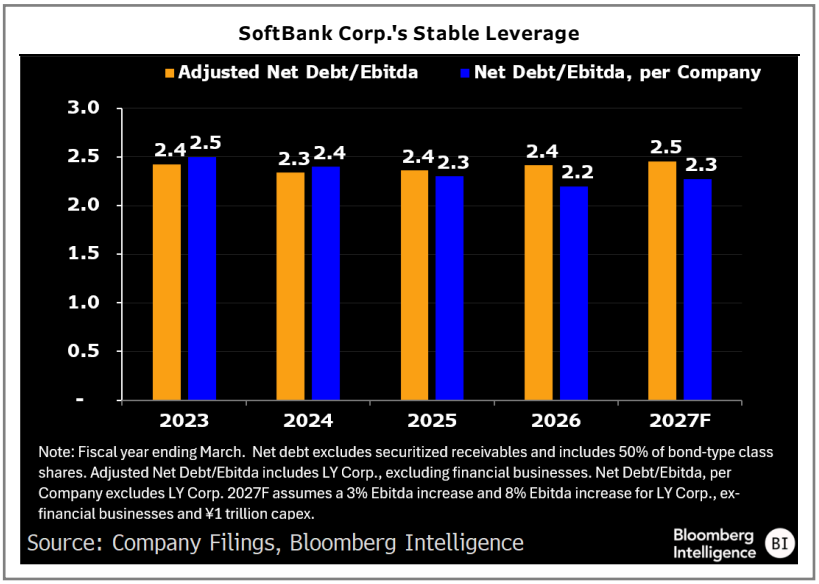
Non-Recourse Funding to Lower SoftBank Debt Pressure

SoftBank Corp. can safeguard its credit profile even as it consolidates SB Neo, a JV with its parent for the US neocloud market, by funding most of SB Neo's capex via secured debt with no recourse to SoftBank. SoftBank Group's loan-to-value will slightly rise, confined to its equity contribution. That mirrors the model of its infrastructure unit, SB Energy, which tends to fund 80-90% of capex with project finance.

SoftBank Corp. can keep its stand-alone leverage at mid-2x if it sticks to its three-year plan of up to ¥1 trillion in strategic investment. Still, it risks exceeding that with its SB Neo and domestic data center investment, possible US battery-market entry and Tokyo Electric stake purchase. The uncommitted portion of about $4.3 billion can fund up to 10% of SB Neo's capex for 1.5-2 gigawatts of capacity. (07/10/26)

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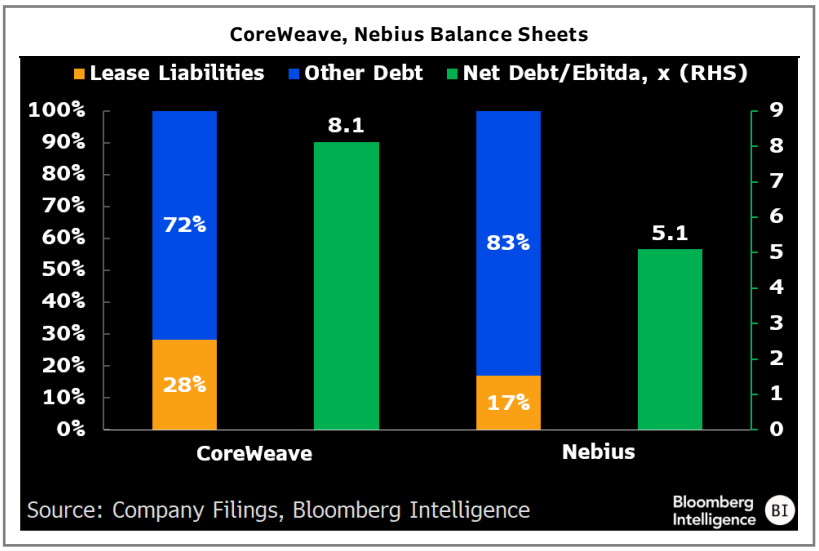
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Neocloud Companies Tend to Have High Leverage

SB Neo is set to have high leverage as it ramps up capacity to possibly reach 10 GW of capacity in the long term, despite plans for a phased approach based on customer needs. Neocloud firms heavily invest in computing racks, which comprise the bulk of capital expenditure, driving AI data-center costs above $30 billion per GW. SB Neo could lease data center capacity from SoftBank Group-owned SB Energy, which is involved in a 10 GW data center and power project in Ohio.

Leading neocloud companies CoreWeave (Ba3/B+/BB-) and Nebius have weak balance sheets, with large capex and lease liabilities. Nebius' leverage may move closer to CoreWeave, with nearly $10 billion of leases starting over 2026-27 compared with less than $1 billion of lease liabilities at the end of December. (07/10/26)



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SoftBank Corp.'s Deepening Ties With Parent

SB Neo's formation increases SoftBank Corp.'s exposure to its 40%-owner SoftBank Group's AI strategy, with any capacity sale to cash-burning OpenAI a key risk. SB Neo is likely to require more investment than the SB OAI Japan joint venture with OpenAI, which is deploying enterprise AI solutions. Both are consolidated by SoftBank Corp, though its effective stake in SB Neo is 51% compared with 25.5% for SB OAI. Any parent-subsidiary conflicts are handled by a board with a majority of independent directors.

The telco's ratings can be affected by its parent, with the negative outlook at S&P linked to SoftBank Group's aggressive investment. How any SB Neo debt is treated will be key to its profile. Both rating agencies include LY Corp.'s debt in leverage calculations, though the company excludes the figure in its mid-2x target. (07/10/26)

SoftBank Corp.'s S&P Rating Pressured Due to Parent

Ratings	S&P	Fitch
Corporate Family/Issuer	BBB	BBB+
Issuer Outlook	NEG	STABLE
Note	Source	Source
Downgrade Trigger	- SoftBank Group's GCP revised down to bb - higher risk of negative interventions by the SoftBank Group in SoftBank Corp SoftBank Corp's SACP revised to bbb if debt/EBITDA > 2.5x for an extended period	- SoftBank Group has greater influence on SoftBank Corp's operation and financial policy that weakens its credit quality - Deterioration in SoftBank Corp's competitive position -Proportionately consolidated EBITDA net leverage >2.8x for a sustained period
Upgrade Trigger	Stable outlook if SoftBank Group's outlook is revised to stable, provided that the relationship with the parent is unchanged and SoftBank Corp maintains a SACP of bbb or higher	-Proportionately consolidated EBITDA net leverage <1.8x on a sustained basis

Source: S&P, Fitch, Bloomberg Intelligence

Bloomberg Intelligence BI

Framework to Connect Capex, Power and Economics

Contributing Analysts Vasu Kasibhotla (Technology)

Hyperscalers' and neoclouds' large capital investments in AI data centers have been a key driver of multiple sectors. We present a framework to connect power consumption, capital spending and chip unit volume. The interactive calculator can also derive data centers' revenue, Ebitda and the implied return on investment. (03/03/26)

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Bloomberg Intelligence

Bloomberg Interactive Calculator

Bloomberg Intelligence Interactive Scenario: Power Consumption for a Blackwell rack

User inputs in amber colored cells

	Units	Power per component Watts
Blackwell GPU	72	1200
Gr		300
Networking, System RAM, NVMe, other cor		
Fans, pumps, cables, cooli		

Click to Download Interactive Calculator

Networking		Racks
Critical IT pow		83%
Pow		
Networking, St		

Networking, Storage, Security, Telemetry, management		Racks
Capex budget split	17%	83%
Networking, Storage, Security, Telemetry, management - attach price per rack		
Rack Price		
Total price		

Source: Bloomberg Intelligence

Bloomberg Intelligence BI

Adding a CoreWeave Would Triple Operating Income

Contributing Analysts Kirk Boodry (Telecom) & Chris Muckensturm (Telecom)

SoftBank Corp.'s goal to triple operating income through a neocloud venture is plausible if the financial path to a 10-gigawatt deployment follows consensus expectations for peer CoreWeave. In that scenario, we assume SoftBank could generate $7 billion of annual revenue per gigawatt and that operating margins expand to 28% by fiscal 2032. That outcome requires aggressive additions from SoftBank-affiliated SB Energy, steady AI demand and durable pricing, as well as healthy margins, yet reaching terminal-year revenue of $44 billion falls well within the anticipated budget of OpenAI's expected compute spending of $600 billion by 2030. (07/08/26)

The Path to 3X Operating Profit

	FY26	FY27e	FY28e	FY29e	FY30e	FY31e	FY32e	CAGR/6
Revenue (¥bn)	7,039	7,493	9,449	11,303	13,212	15,030	16,104	14.8%
Domestic Core	7,039	7,493	7,937	8,279	8,676	8,982	8,922	4.0%
Neocloud	-	-	1,512	3,024	4,536	6,048	7,182	n/a
Operating income (¥bn)	1,043	1,028	1,212	1,579	2,237	2,937	3,587	22.9%
Domestic Core	1,043	1,143	1,235	1,346	1,459	1,555	1,562	7.0%
Neocloud	-	(115)	(24)	233	778	1,382	2,025	n/a
Neocloud summary								
GW Deployed		1	3	5	7	9	10	
Active GW for sale		-	1	3	4	5	6	
Revenue / GW ($bn)		-	7.0	7.0	7.0	7.0	7.0	
Revenue ($bn)		-	9.3	18.7	28.0	37.3	44.3	
Operating income ($bn)		(0.7)	(0.1)	1.4	4.8	8.5	12.5	
Margin		0.0%	-1.6%	7.7%	17.1%	22.9%	28.2%	

March year-end, so FY27 ends Mar-27

Source: Company Filings, Bloomberg Intelligence

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Earnings Review

Earnings Review

SoftBank Extends Profit, Aided by ARM, Intel: Earnings Outlook

Contributing Analysts Kirk Boodry (Telecom) & Chris Muckensturm (Telecom)

Post-1Q Earnings Outlook: Record net asset value and a fifth straight quarter of positive net income in fiscal 1Q provides SoftBank some breathing room as the company prepares for its next investment phase. That includes commitments of $18 billion for OpenAI, ABB Robotics and Digital Bridge, even as an acceleration of data-center funding in the US through SB Energy added ¥726 billion ($4.5 billion) to PP&E. The valuation surge at ARM and Intel that pushed net asset value to ¥73 trillion has kept corresponding loan-to-value at a robust 13%, well below the company's 25% guardrail and similar to levels before AI investments surged.

Challenges remain as subsequent declines in NAV have elevated LTV to roughly 18%, while interest costs have almost doubled year over year as borrowings rise. Meanwhile, the timing of liquidity-boosting potential IPOs for OpenAI, SB Energy and Roze remains opaque. (08/06/26)

Highlights From Recent Results:

- 1Q Revenue Jumped 11% on Robust ARM Sales and Fintech Growth in Japan
- Investment Income at the Holding Company Reached ¥1.3 Trillion on Mark-to-Market Gains for Intel
- Interest Expense Has Almost Doubled Over the Past Year
- Net Income Fell 8% From the Prior Year, But Extended SoftBank's Profitability Streak to Five Quarters

Additional Resources:

- Earnings Release | NSN »
- Company Presentation | DOCC »
- Analyst Estimates and Models | MODL »
- Bloomberg Interactive Model | MODL »

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